

Treasure Management

BBA — 8th Semester — 2023 — Answer Sheet
Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. When setting deposit rates, banks typically offer higher rates for long-term deposits compared to short-term deposits.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Assets and liability management helps commercial banks to manage and control their interest rate risk.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Capital, reserves, borrowings, profit are the major sources of fund of commercial banks for long term purpose.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Effective risk management cannot reduce the probability of threats.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Deposit accounts are the number one source of funds at most banks.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Transaction deposits include regular interest-bearing demand deposits that earn an interest payment.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. In the case of positive mismatch, the maturity of liabilities is greater than the maturity of assets.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. A derivative security is not the real banking product.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Statutory liquidity ratio is the maximum amount of liquid fund bank has to maintain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Upscale target pricing model is targeted to the price sensitive customers.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions:[6 × 5 = 30]

11. What are the principles of treasury management? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. What are the major sources of fund of a bank? Explain the internal and external sources of funds.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Define interbank lending. List out the major types of credit products offered by Nepalese commercial bank with their features.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. What is asset liability management committee (ALCO)? Explain the roles and responsibilities of ALCO.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Illustrate forward contracts and futures contracts with suitable example. Mention, in brief, the characteristics of forward and futures contracts.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Define banks' investment portfolio. Explain the investment securities of commercial banks in Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. The treasury department of bank is also responsible for foreign currency management to meet the needs of its primary business operations. Foreign exchange dealer's association of Nepal (FEDAN) was established under terms and condition for transaction in foreign. In the light of this statement, explain the major roles and responsibilities of FEDAN.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. Risk is an event that may cause damage to an institution's income and reputations. Explain the different types of risk in treasury operation management.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.